

COURSE TITLE: MQF 420: Financial Markets and Institutions (FMI)

CLASS: MQF

TERM: Spring Quarter, 2026

PROFESSOR: Sat Parashar, PhD (Finance)

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CLASS DAY: Thursday

CLASS TIME: 11am- 1:50pm

CLASS ROOM: 4N128

OFFICE HOURS: Wednesday, 1pm- 2pm

OFFICE HOUR ROOM: TBA

TA: TBA

EMAIL: TBA

PHONE: TBA

OFFICE HOURS: By Appointment

Early Alert Form: TA to be aware

DESCRIPTION

- The USA is the largest economy in the world. The USA is the land of millionaires. While there may be more than one reason for that, the number one reason is the supply of money and credit in the economy through its financial markets and institutions.
- This course is about US and global financial markets and institutions. Money is said to be the fuel or the life blood of any business, family, and economy. Financial markets and institutions create, move, and regulate the money flow in the economy. Each of the business and economic variables like investment, employment, GDP, inflation, exchange rate is a function, among others, of money supply and credit availability in the economy. Financial Regulation plays an equally important role by influencing money supply and credit flow in the economy and thereby helping manage the economic and financial health of the economy.
- As prospective business owners, executives, and finance specialists, it will be beneficial to understand US and global financial markets and institutions. It is like knowing the air strip before flying an airplane. The funding and investment decisions, in every walk of life, are highly influenced by financial markets and institutions. Based on my global experience with the developed and less developed economies, I am inclined to say that a good index of the standard of living of the people in a country is the quality of assets of the banking system of their country.
- In this course we shall focus on questions like what is the state of money and credit in the US economy? Who affects it and how? How could markets and institutions be

efficient and effective to help sustainably grow US economy? The 2007-09 global financial crisis and events of COVID-19 have brought the role of financial markets and institutions to the fore. Two US banks, namely, Silicon Valley Bank and Signature Bank failed in 2023. We shall analyze these two bank failures as case studies for understanding the importance and challenges of managing financial institutions.

- The prime focus of this course is to help you master skills of forecasting interest rates, exchange rates, asset prices, market downturns and upturns, credit defaults, etc. to help manage the finances of your business better.
- This course should also interest those who want to understand the sources of generating passive income. You may have two sources of income, active and passive. Active income you generate by actively pursuing a job or business. Passive income you may generate by making your money work for you when you sleep. Bond markets, stock markets, foreign exchange markets, real estate markets, derivatives markets can all be sources of passive income. Rich become rich by generating passive income in addition to active income. "The major fortunes in America have been made in land", said John D Rockefeller.

INTENDED LEARNING OBJECTIVES

At the end of this course, participants will be able to:

1. Analyze 'big picture' of the US financial system; its players and their role; and its global context.
2. Analyze history, trends and developments in the US financial markets and institutions.
3. Foresee where the US financial system is moving up to, its challenges.
4. Foresee next economic upturns and downturns. (downturns are great time for wealth building)
5. Facilitate financial decisions of investment and funding in businesses, government, and families.

STUDY MATERIALS (Required)

Textbook

Financial Markets and Institutions, Jeff Madura and Ohaness Paskelian, 14th Edition, Cengage, 2025.

Additional Suggested Readings (Indicated Session- wise):

Slide Deck: Slide deck for each session will be posted on Canvas, 2 days in advance of the session. You are expected to go through before the class and come up with your questions during the class.

ATTENDANCE

You are expected to attend every class. You are responsible for the material covered in class, whether or not you attend. TA will help to record your attendance, but prime responsibility for recording your attendance is yours.

All Sessions will be held in- person.

Check Your Progress (CYP)

Each session, from 2nd session onwards, will begin with CYP (MCQs) to check on previous session's learning. CYP are not graded. CYP aims to revise the learning of the previous session as a building block to the next session.

COURSE SCHEDULE

Session Date	Topic(s) Key Issues/ Questions	Reading(s)	Deliverable(s)*
4/2	Flow of Money in the US Economy: Stocks of M1,M2, M0 Structure of US Financial Markets and Institutions. Economic and Financial Variables- A Tale of 4 Countries. What Caused the Financial Crisis of 2007-09 and how was it resolved? COVID -19: How was the financial crisis avoided?	Textbook Chap 1 Additional Readings: Financial Accounts of the United States (Fed Reserve Z.1 Statement), Money Stocks Measures (Fed Reserve Statement H.6), Bank Credit in US (FRED) Non- bank Credit in US (FRED)	Lecture Q/A Discussion Case Problem Solutions One-on-One Q/ A (Office Hour)
4/9	Fixed Return Securities	Textbook Chap 2, 3, 6, 7, 8	Check Your Progress (Previous Session)

	Market: Bond & Money Markets. Determination of Interest Rates; Term Structure and Yield Curve Analysis, Prediction of Economic Recessions	Additional Readings: Arturo Estrella and Frederic S. Mishkin, The Yield Curve as a Predictor of U.S. Recessions, Current Issues in Economics and Finance, Fed Reserve, NY, June 1996 The US Yield curve https://www.ustreasuryyieldcurve.com/	Revised) Lecture Q/A Discussion Case Problem Solutions One-on-One Q/ A (Office Hour)
4/16	Variable Return Securities Market: Stock market Stock Valuation Alternative Investments: Commodities and Real Estate	Textbook Chap 10, 11 Additional Readings: US Stock Indices 2008-2025 DJI S&P Nasdaq Russell Oil Price History Gold Price History BTC www.finance.yahoo.com The Callan Periodic Table of Investment Returns National Net Lease Report (boulder Group) US Cap Rate Survey (CBRE)	Check Your Progress (Previous Session Revised) Lecture Q/A Discussion Case Problem Solutions One-on-One Q/ A (Office Hour)
4/23	Foreign Exchange Markets Determination of Exchange Rates. Exchange Rates and Corporate Profits	Textbook Chap 16 Additional Readings: New York Fed Reserve Quarterly Forex Intervention Report www.newyorkfed.org/markets/quar_reports	Check Your Progress (Previous Session Revised) Lecture Q/A Discussion Case Problem Solutions One-on-One Q/ A

		New York Fed Reserve Monthly Volume Report https://www.newyorkfed.org/fxc/fx-volume-survey	(Office Hour)
4/30	Credit Market: Conventional Banks	Textbook Chap 9,17,19,20 Additional Readings: Quarterly Trends for Consolidated U.S. Banking Organizations, 2024, Federal Reserve Bank of New York https://www.newyorkfed.org/research/banking_research/quarterly_trends US Bank Failures, 2008-2024 FDIC https://www.americanbanker.com/list/15-most-recent-bank-failures Survey of Credit Underwriting Practices, OCC Alan Taylor, The Great Leveraging, University of Virginia, NBER, and CEPR, July 2012	Check Your Progress (Previous Session Revised) Lecture Q/A Discussion Case Problem Solutions One-on-One Q/ A (Office Hour)
5/7		Individual Literature Review Turn- in by 5/5/26,11:59pm Individual Literature Review Learnings Presentation 11:00am – 12:45pm	Evaluating Individual Literature Review reports. (List presentation by TA) Design, Administration,

		Midterm Exam (Closed Book, MCQ, Auto graded) 12:50pm- 1:50pm	Proctoring, Supervision Evaluation and Review of Mid Term Exam
5/14	Credit Markets: Shadow Banking Pension Insurance Private Equity Private Money Loans Pay Day Loans	Midterm Exam Review Textbook Chap 21, 22,23, 25,26, 27 Additional Readings: Financial Stability Board https://www.fsb.org/2024/12/global-monitoring-report-on-non-bank-financial-intermediation-2024/	Discussion of Mid Term Exam Lecture Q/A Discussion Case Problem Solutions One-on-One Q/ A (Office Hour)
5/21	Financial Regulation: Federal Reserve; US Monetary Policy- Formulation, Mechanism, Implementation, and Impact Other Financial Regulators- FDIC, OCC, CFPB International Regulation- BIS, Financial Stability Board Role of Treasury Financial Risk Management- Transaction Risk Management: Derivative Markets- Forwards, Futures, Options and Swaps	Textbook Chap 4, 13,14,15,18 Additional Readings: Fed's Financial Stability Report, 2025. https://www.federalreserve.gov/publications/files/financial-stability-report-20251107.pdf Dodd- Frank Wall Street Reform and Consumer Protection Act, 2010 Economic Growth, Regulatory Relief and Consumer Protection (EGRRCP) Act, 2018 Additional Readings: Bank for International Settlement Statistics on Derivatives Market RCAP on timeliness: Basel III implementation dashboard https://www.bis.org/bcbs/im	Check Your Progress (Previous Session Revised) Lecture Q/A Discussion Case Problem Solutions One-on-One Q/ A (Office Hour)

	Institutional Risk Management Basel Committee Standards Insurance Contracts	plementation/rcap_reports.htm	
5/28		Turn-in Project Report by 5/27/26 Group Research Project Presentation	Evaluating Group Project Presentations
6/4		Group Research Project Presentation	Evaluating Group Project Presentations
6/11 11:00am-1:00pm		Final Exam (Open Book, MCQ, Auto graded) Honorlock (To be shared)	Design and Evaluation of Final Exam

ASSIGNMENTS & DELIVERABLES

Reading Assignments

Reading of Textbook Chapters and additional suggested readings, as indicated session-wise, should be completed before the class. **Please come prepared to answer the discussion questions in the class.**

Individual Literature Review Project (15 Points)

Each participant is required to complete an individual literature review project. Individual project is aimed to sharpen your scholastic abilities.

Individual Project will comprise the following Components and Grading:

- Selection and communication on canvas your piece of Literature Review by 5/1/26, 11:59pm. (2%)
- Submission of Summary of a book or Working Paper published by Fed Reserve System, District Federal Reserve Banks, OCC, FDIC, CFPB, BIS, or a report/ publication of Senate Banking Committee, House Financial Services Committee during the period 2019-2026, or a report on FREDcast or Chair the Fed Game, if you participated, and Lessons Learned. No Wall Street Journal kind. (5%)
- Last date to submit Literature review report on Canvas, 5/5/26, 11:59pm. (2%)
- Class Presentation and Lessons learned, as student of FMI, from Literature Review. (6%)

Group Research Project (20 Points)

There will be a group research project. Project Research project is aimed to sharpen your team play abilities. Each group will have 5 members. Group Research will answer a specific research question. Group Project will comprise six components:

- i. Rationale of Research/ Why this Research? (2%)
- ii. Relevant Literature Review.(2%)
- iii. Data Collection and Analysis.(2%)
- iv. Major Findings & Conclusion. (4%)
- v. Submission of Written Report and Slide Deck on canvas by 5/27/26. (5%)
- vi. Class Presentation (with Slide Deck). Each member of the group to participate in presentation. (5%)
- vii. Last day to submit Group Project Report, on Canvas, 5/27/2026.11:59pm

Possible Topics for group project (Pick if you wish; First pick takes):

1. How are Federal Reserve System, Treasury and Commercial Banks inter-related in USA?
2. How random are the U.S. stock markets?
3. How Safe and Sound are the US banks?
4. Why did US banks fail during 2023-25 despite so much national and international regulation?
5. How effective has been U.S. Monetary policy since COVID-19?
6. What would be U.S. fed funds rate on 6/4/, 2026?
7. What would be 10-year Treasury Rate on 6/4/2026?
8. What would be EUR/US exchange rate on 6/4/, 2026?
9. What would be Gold Price on 6/4/ 2026?
10. What would be Crude Oil Price on 6/4/ 2026?
11. What would be the price of Bitcoin on 6/4/2026?
12. What would be DJI on 6/4/2026?
13. What would be S&P/Case-Shiller U.S. National Home Price Index, end of May 2026?
14. What would be share price of JP Morgan chase on 6/4/2026?
15. Others, as you like.

Note: No Two Groups can have the same Research question. Research question will go to the group which first announced their choice on canvas. Announce your research question and members of the group by 5/21/26, 11:59pm.

Exams

Midterm Exam: 20 Points

Type: MCQs (Closed Book)

Course Coverage: Up to Mid-term.

End Term: 40 Points

Type: MCQs (Open Book)

Course Coverage: Full Course (Pre and Post Mid Term Weightage; 40%:60%)

Class Attendance and Participation: 5 Points

GRADING

Exams and Deliverables	Points [or percentage]
Group Project	20
Individual Project	15
Mid Term	20
End Term	40
Class attendance & Participation	05
Total	100

COURSE POLICIES

- You are expected to attend every class. You are responsible for the material covered in class, whether or not you attend.*
- There will be no exam make up opportunity, except in case of personal illness and with instructor approval before scheduled date of exam.*
- You may review your exams by appointment with TA/ Instructor.*

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:
<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu